

It is almost an insult to be asked 'how much do you want to invest' before some of these questions are answered. The sales-push model of hawking the top-selling product of the month has harmed many people. ***Remember that each financial product you buy must solve a problem you have.*** It must have a purpose. Simply buying something because it is being hard-sold is just bad money-box behaviour. We don't do it here. Not cool.

I look at the investing decisions more as a cash flow issue – will I have the money I need in the future, ready to use or not? The future could be next week, it could be three years later when I want to replace my dad's car, or it could be in ten years when I want to send my kid abroad. We worry about getting old but tuck it away till we can. Either look at the faces of your parents or grandparents and know that you will get there in time. Or download an app that ages your picture. Look at your own face when you are sixty. Then seventy, eighty. Ninety. Scary! And the scary part is that we will – most of us will – live to see ninety. Those in their early twenties can think of even longer lifespans.

Onwards ho!

We are at the stage where we begin the process of filling our money boxes with investment products, and we must remember to find products that take care of some of these worries. The products we choose must justify their presence in the money box.

Pull out your mental money box and look at it again. Remember that the first cell has your cash flows, the second is the emergency fund, the third your medical cover, and the fourth has the life cover. We now create three more cells in the box for our investments. We name each cell: The first is called Almost There; the second, In Some Time; and the third, Far Away.

Now, then, when

Any planned expense that will happen within two to three years is a short-term need that you put down under Almost There. Remember, I told you that you can use this money box to suit your own personality and financial situation. If